

Sega knew it not only needed improved and inexpensive consoles but also good games. And what better time to launch the next iteration of its famous Sonic the Hedgehog series than now? The company announced Sonic Adventures and also ported a number of games from its arcade game collections to the Dreamcast. In 2000, even after all this effort, and the initial success that it enjoyed in USA, Sega was still behind. Sony still enjoyed a more than 60% market share and had also announced its next-gen console. Sega slowly realized that maybe it was time for it to get out of the console industry and it discontinued the console in a couple of years. Soon after, the company executives decided that probably it was time to get out of the console business for good and cleared the remaining stock at a heavily discounted rate. And well, this marked the end of Sega, the console giant.

Microsoft Xbox

Developed by Microsoft, Xbox was the most powerful console of its generation and was launched in November 2001. Borrowing its design and specs from personal computers of the time, the Xbox was powered by a 733MHz Intel Pentium III processor and was the first console ever to feature an in-built hard disk. Microsoft also came out with its online gaming service called Xbox Live a year later which was set to entirely revolutionize online gaming on consoles.

Xbox was launched first in North America followed by Japan and Europe and it quickly sold out in all these places. Xbox was both a commercial and critical success, thanks in part to a number of good game titles, some of which went on to build a huge fan base for themselves like Halo: Combat Evolved and Dead or Alive 3.



Microsoft entered the console market with its first Xbox that looked very much like the personal computers at the time.